

Consumer Lending Servicing Compliance Standard

Document Control

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1. Overview

This standard defines the compliance controls used in consumer-loan servicing. It addresses payment posting, periodic account information, borrower requests, military-service protections, complaint handling, application-record retention, and the evidence needed to demonstrate that servicing controls operated as expected.

Consumer Lending owns day-to-day servicing. The Consumer Compliance Office interprets regulatory requirements and approves control exceptions. Regulatory minimums are treated as a floor; Meridian may apply longer retention periods or more protective customer treatment when approved by Legal and Compliance.

2. Applicability

The standard applies to Meridian and contracted consumer-loan servicing vendors, including Consumer Lending, Loan Operations, Customer Care, Legal, Consumer Compliance, Internal Audit, approved statement printers, payment processors, and servicing vendors. It covers loan agreements, borrower records, payment records, account details, servicing notices, military-service documents, complaints, and control evidence.

Commercial credit, credit cards, residential mortgage servicing, and loans serviced entirely by another institution under a contract assigning compliance responsibility to that institution are outside scope.

3. Regulatory Context

Source	Requirement	Meridian application
Regulation B, 12 CFR 1002.12	Application record retention	Retain covered application and action records for at least 25 months. Meridian's longer internal schedule generally governs disposal.
Regulation Z, 12 CFR Part 1026	Consumer credit disclosures and account information	Provide applicable information clearly, accurately, and on time. Product Compliance maps each product to the approved schedule.
SCRA, 50 USC 3937	Interest protection for eligible pre-service obligations	Apply the statutory protection after required notice or military-service evidence is validated.
MCB-CMP-110	Complaint investigation	Record, investigate, respond to, and trend covered servicing complaints.

The SCRA can cap interest on qualifying pre-service obligations at six percent during military service when statutory conditions are met. A customer-service employee may explain the process but may not determine eligibility. The Military Benefits Team validates the evidence and service period before Loan Operations changes the rate.

4. Governance

Role	Responsibility
Consumer Compliance Officer	Owens interpretations, approves control exceptions, and reports material issues.
Loan Operations Manager	Operates servicing controls and corrects payment or statement errors.
Military Benefits Specialist	Validates military-service evidence and applies approved protections.
Compliance Testing Analyst	Independently tests controls and validates remediation.

The Loan Operations Manager may correct an obvious posting error but must refer disputed legal interpretations to Compliance. Compliance Testing remains independent of the teams that operate the controls. Material findings are reported to the Consumer Compliance Committee, and overdue high-severity remediation is escalated to the Enterprise Risk Committee.

5. Key Risks and Controls

Risk	Control response	Owner
A valid payment may be associated with the wrong loan.	Validate the loan reference and approved payment source before posting; place unmatched items in suspense.	Loan Operations Manager
An eligible military-service protection may be delayed or calculated incorrectly.	Use a two-person review of eligibility, effective period, and rate calculation.	Military Benefits Team Lead
Meridian may be unable to demonstrate a servicing decision.	Prevent disposal before the approved retention period and preserve decision evidence.	Records Management Director
A borrower may receive inaccurate periodic information.	Reconcile balances, rates, due dates, and payment activity before statement release.	Servicing Control Team

Payment-posting and statement risks are connected. A misapplied payment can create an incorrect balance and an inaccurate subsequent statement. Unresolved payment or statement exceptions must therefore be assessed before customer information is released.

6. Control Requirements

Control ID	Control	Frequency	Evidence
CTRL-PAY-01	Payment-to-loan validation	Each payment	Validation result and posting record
CTRL-STMT-02	Statement data reconciliation	Each statement cycle	Reconciliation report and exception queue
CTRL-SCRA-03	Military benefit dual review	Each request	Evidence checklist and approval record
CTRL-RET-04	Lending record retention hold	Daily enforcement; annual review	Retention report and deletion log
CTRL-CMP-05	Servicing complaint trend review	Monthly	Complaint trend report

Each accepted payment must be posted to the intended loan using approved effective-date rules. Meridian must preserve the records used to resolve credible borrower disputes and must apply approved military-service protections for the validated period. A loan rate or balance may not be changed without a recorded reason and authorized decision.

An unmatched payment may be placed in suspense while the intended loan is researched. Confirmed servicing errors may be corrected and revised customer information issued before the next ordinary statement cycle. A longer internal retention period may be used when it exceeds, rather than replaces, a regulatory minimum.

7. Exceptions and Monitoring

Control exceptions may address an internal control design or timing requirement, but they may not waive a customer's legal protection. Requests must identify the affected products, duration, risk, compensating controls, and remediation owner. High-risk exceptions require Legal review and approval by the Chief Compliance Officer.

Activity	Frequency	Escalation trigger
Sample payment-posting accuracy	Quarterly	Any customer-impacting error or error rate above 1%

Military benefit timeliness and calculation review	Quarterly	Any missed eligible period or rate above the approved cap
Statement exception trend review	Monthly	Three similar defects in one cycle
Retention schedule certification	Annually	Early deletion or missing legal hold

8. Findings and Remediation

Finding	Description	Status
FIND-2026-17	Seven payments without a complete loan reference remained in suspense longer than the internal two-business-day target.	Remediation in progress
FIND-2026-22	Legacy statement reconciliation evidence did not identify the reviewer for two monthly cycles.	Open

FIND-2026-17 requires reference validation at intake, daily suspense aging, and documented outreach after one business day. Closure requires thirty consecutive days with no payment aged beyond two business days without a recorded investigation. FIND-2026-22 requires system-captured reviewer identity and successful independent testing of two statement cycles.

9. Records, Dates, and Interpretation

Item	Requirement
Consumer application records	At least 25 months after notice of action or incompleteness; Meridian's longer schedule may apply.
Loan and servicing records	Seven years after account closure, unless a hold requires longer retention.
Payment suspense investigation	Target of two business days for unmatched accepted payments.
High-severity remediation	Escalate when more than ten business days overdue.
Military-service interest protection	Six percent per year for eligible pre-service obligations during the protected period.

The Enterprise Records Schedule describes the seven-year period as beginning at “account closure,” while some Loan Operations procedures have historically used “final payment.” For this standard, account closure means the date the loan is paid, charged off, transferred with no remaining servicing duty, or otherwise closed in the system after all adjustments. A final payment does not start disposal while an unresolved adjustment or complaint remains.

The Payment Operations Manual defines a business day as a day on which the payment unit processes transactions. The Customer Complaint Policy uses Monday through Friday excluding federal holidays. Until the two documents are aligned, the more customer-protective deadline applies to investigation and correction commitments.

Earlier records used “servicing exception” for both a failed transaction and an approved waiver. Going forward, a failed or unmatched transaction is an operational exception, while an approved temporary departure from a control is a control exception. Existing records retain their original labels and must be interpreted in context.

10. Change History

Version	Date	Summary
1.2	September 1, 2025	Added military-benefit and payment-suspense controls.
1.3	September 1, 2026	Clarified exception terminology and retention start date; added statement evidence requirements.